

NOT YET APPROVED

Ordinance No. _____

Interim, **Urgency** Ordinance of the Council of the City of Palo Alto Excluding from the Effect of Government Code Section 65912.157 Those Properties Designated as Local Historic Resources Pursuant to Palo Alto Municipal Code Chapter 16.49 and Amending the Zoning Map (Palo Alto Municipal Code Section 18.08.040)

The Council of the City of Palo Alto ORDAINS as follows:

SECTION 1. Findings and Declarations. The City Council finds and declares as follows:

- A. On October 10, 2025, the Governor of the State of California signed Senate Bill 79 (SB 79), which adopted California Government Code sections 65912.155 through 65912.162 and requires local agencies, effective July 1, 2026, to permit high density residential development in designated transit-oriented development (TOD) zones within one-half mile of certain TOD stops.
- B. There are three TOD zones in Palo Alto, centered on the Palo Alto, California Avenue, and San Antonio Road Caltrain stations.
- C. California Government Code section 65912.157 sets forth residential development standards that apply to housing development projects within TOD zones, such as a height of 75 feet, density of 120 dwelling units per acre, and floor area ratio of 3.5 for projects within one-quarter mile of a Caltrain station.
- D. Government Code section 65912.161, subdivision (b), permits local agencies to exclude certain properties from compliance with Government Code section 65912.157 by adopting an ordinance implementing SB 79, including:
 - a. A site that permits density and residential floor area ratio at no less than 50 percent of the standards specified under Government Code section 65912.157.
 - b. Sites with a historic resource designated as of January 1, 2025, on a local register.
- E. The City Council desire to adopt an ordinance pursuant to Government Code section 65912.161, excluding sites designated as local historic resources on the Palo Alto Historic Resources Inventory pursuant to Palo Alto Municipal Code (PAMC) Chapter 16.49.
- F. SB 79 charges the California Department of Housing and Community Development (HCD) with promulgating regulations relating to the bill by July 1, 2026. SB 79 further chargers metropolitan planning organizations with creating maps of TOD stops and zones in accordance with HCD guidance.
- G. HCD issued a set of “advisory clarifications on definitions for Metropolitan Planning Organizations” on March 23, 2026. The Metropolitan Transportation Commission (MTC),

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the metropolitan planning organization for the San Francisco Bay Area, released preliminary draft maps on April 8, 2026.

- H. Due to the short time between the issuance of guidance from HCD and MTC and the July 1, 2026 effective date of Government Code section 65912.157, there is insufficient time for the amendments to the zoning map proposed in this ordinance to be presented for review by the Planning and Transportation Commission. Accordingly, pursuant to PAMC section 18.80.090, the City Council adopts this ordinance as a temporary measure to preserve the public health, safety, or welfare.
- I. The City Council finds and declares that the implementation of Government Code section 65912.157 on July 1, 2026 will create significant incentive for redevelopment of properties in the TOD zones, including historic resources. Accordingly, this ordinance is necessary as an emergency measure pursuant to PAMC section 2.04.270 to prevent the loss of historic resources listed in the Palo Alto Historic Inventory and thereby preserve the public peace, health, or safety.
- J. Additionally, for the reasons provided herein, the City Council finds and declares that the potential loss of historic resources in TOD zones presents a current and immediate threat to the public health, safety, or welfare that would be realized by approval of projects under the standards set forth in Government Code section 65912.157. There are no pending project applications that would be impacted by this ordinance and this ordinance would not have the effect of denying any approvals needed for the development of projects containing multifamily housing. Accordingly, this ordinance is necessary as an interim, urgency measure pursuant to Government Code section 65858 to protect the public health, safety, or welfare.

Commented [AY1]: Only for urgency.

SECTION 2. Pursuant to Government Code section 65912.161, subdivision (b)(1), sites designated as local historic resources on the Palo Alto Historic Resources Inventory as of January 1, 2025 are hereby temporarily excluded from the application of Government Code section 65912.157. These sites shall be excluded until one year following the adoption of the City's seventh cycle Housing Element.

SECTION 3. The Director of Planning and Development Services is hereby authorized and directed to update Section 18.08.040 (the Zoning Map) of Title 18 (Zoning) of the Palo Alto Municipal Code to indicate which sites within the TOD zones are and are not covered by Government Code section 65912.157, including sites excluded pursuant to this Ordinance.

SECTION 4. If any section, subsection, sentence, clause, or phrase of this Ordinance is for any reason held to be invalid or unconstitutional by a decision of any court of competent jurisdiction, such decision shall not affect the validity of the remaining portions of this Ordinance. The City Council hereby declares that it would have passed this Ordinance and each and every section, subsection, sentence, clause, or phrase not declared invalid or unconstitutional without regard to whether any portion of the Ordinance would be subsequently declared invalid or unconstitutional.

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SECTION 5. The Council finds that the Ordinance is not a project under the California Environmental Quality Act (CEQA) pursuant to Government Code section 65912.160, subdivision (c)(2), because it makes the City's zoning code consistent with the provisions of SB 79 by implementing Government Code section 65912.161, subdivision (b) and amending the zoning map to indicate which sites are and are not subject to Government Code section 65912.157.

SECTION 6. This Ordinance shall be effective upon adoption by a four-fifths vote of the City Council and shall expire 45 days thereafter.

OR

This Ordinance shall be effective on the thirty-first date after the date of its adoption.

INTRODUCED and PASSED:

PASSED:

AYES:

NOES:

ABSENT:

ABSTENTIONS:

ATTEST:

City Clerk

Mayor

APPROVED AS TO FORM:

APPROVED:

Assistant City Attorney

City Manager

Director of Planning and
Development Services

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EXHIBIT A – ZONING MAP